

ASSESSMENT TOOL

SME AI Readiness Checklist

12 Questions to Assess Your Operations
Before Investing in AI

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Score 0-4: Start with Visibility | 5-8: Automate | 9-12: Intelligence

LAYER 1: VISIBILITY

- ☐ Do you have a single source of truth for your customer data?
- ☐ Can your team describe your top 3 bottlenecks in under 60 seconds?
- ☐ Do you track revenue by product line or customer segment?
- ☐ Do you know your average cost per manual process?
- ☐ Do your ops and finance teams share the same numbers each week?

01

Visibility

See what is actually
happening

02

Remove costly
manual repetition

03

Intelligence

Make decisions with
confidence

Work through each question honestly. Score one point for YES. No partial credit. A clear NO is as valuable as a YES because it tells you exactly where to start.

LAYER 1

Layer 1: Visibility

Before you automate anything, you need clarity

These four questions test whether your business has a reliable picture of what is actually happening. If you cannot answer them today, you are not ready to automate anything yet.

Q01

Data consolidation

☐

Do you have a single source of truth for your customer data?

Why this matters: If sales, finance, and ops each maintain a separate spreadsheet, no AI tool can fix that. The system will inherit your confusion. One version of the data is the non-negotiable starting point.

Q02

Operational awareness

☐

Can your team describe your top three operational bottlenecks in under 60 seconds?

Why this matters: Speed of answer reveals depth of understanding. If it takes a meeting to identify where work slows down, the bottleneck is your own visibility. Clarity here costs nothing and unlocks everything.

Q03

Revenue segmentation

☐

Do you track revenue by product line, region, or customer segment?

Why this matters: Aggregate revenue hides more than it reveals. If you cannot slice it, you cannot see where growth is genuine and where it is propped up by one client or one lucky quarter.

Q04

Reporting alignment

☐

Do your operations team and finance team work from the same numbers each week?

Why this matters: This is the simplest test of data alignment. Two departments, one set of figures. If they disagree, decisions made downstream are already built on unstable ground.

LAYER 2

Layer 2: Automation

Identify where manual execution is costing you time and accuracy

Automation works best on tasks with fixed, repeatable logic. These questions help you identify whether your processes are documented and consistent enough for a tool to handle them.

Q05

Cost of manual work

☐

Do you know your average cost per manual process (invoicing, data entry, follow-ups)?

Why this matters: Time multiplied by wage multiplied by frequency. If you have never calculated this, you cannot make a credible business case for replacing the process. This number almost always surprises people.

Q06

Process repeatability

☐

Are there tasks your team performs the same way every single day without variation?

Why this matters: Consistency is the automation signal. If the logic is fixed, a tool can execute it with a reliability no human can maintain across hundreds of repetitions. If every case is different, judgment is still required.

Q07

Process documentation

☐

Could a new team member follow a written process for your five most repeated tasks?

Why this matters: If the process only lives in someone's head, it is not ready to automate. You cannot hand undocumented work to a tool any more than you can hand it to a new hire. Documentation comes first.

Q08

Tool integration readiness

☐

Do you currently use tools such as a CRM, ERP, or accounting software that could be better connected?

Why this matters: Most SMEs already own the infrastructure they need. The missing piece is integration. Data sitting in disconnected systems is value that has already been paid for but not yet collected.

LAYER 3

Layer 3: Intelligence

Decisions that previously required experience can now be data-driven

This layer is where AI starts making decisions, not just executing them. It requires clean historical data, a team that trusts what the data says, and someone accountable for its quality.

Q09

Data depth

☐

Do you have at least 12 months of clean, structured historical data in one place?

Why this matters: Forecasting and pattern detection require a meaningful baseline. If your data covers three months, the model will learn three months of patterns. Garbage in, garbage out is not a cliché here.

Q10

Churn visibility

☐

Do you know which customers are most likely to churn in the next 90 days?

Why this matters: If you have never built a churn model, the honest answer is no. That is not a failure. It tells you precisely what your first intelligence project should be: a model that flags risk before it becomes a lost account.

Q11

Spend monitoring

☐

Can you identify which expenses are trending in the wrong direction before month-end close?

Why this matters: Reactive finance means you find out about cost overruns when the month is already gone. Real-time spend visibility turns a review exercise into a management tool. This is the difference between reporting and control.

Q12

Data trust

☐

Does your team trust data enough to make decisions from it without calling a verification meeting?

Why this matters: In most SMEs, the bottleneck is not the technology. It is trust. If your team cross-checks every report in a meeting before acting on it, the problem is data quality and process ownership, not the reporting tool.

Q13

Data ownership

☐

Do you have one named person responsible for data quality in your business?

Why this matters: Without named ownership, data degrades by default. It does not require a full-time hire or a data team. It requires one person whose name you can say when you ask: who is responsible for making sure this is right?

Scoring Guide: What Your Total Means

Score 1 point per YES | 12 questions total

Score 0 to 4

Start with Visibility

Layer 1 focus

Your first move is not to buy a tool. It is to consolidate your data. Build one dashboard your whole team checks each week. Do this before you evaluate any automation or AI product.

Score 5 to 8

Move to Automation

Layer 2 focus

You have enough visibility to act. Pick your three most time-consuming manual processes, write the steps down, then find the tool that can execute them. Sequence matters: document first, automate second.

Score 9 to 12

Ready for Intelligence

Layer 3 focus

Your data is clean, your routine work runs without manual intervention. You are in the right position to apply AI to real strategic decisions: demand forecasting, churn prediction, and proactive spend management.

Want to talk through your score?

Send your total and your top operational bottleneck.
I will respond within 24 hours.

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